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NEWSPAPER

20th August, 2018

ITEM WISE EDITORIALS

34th WEEK



**BHUTAN ... UNDERSTAND
THE SENSITIVITIES!**

UPSC CSE – GS II

GS II ... International Relations



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... DISCUSSION

20th AUGUST, 2018

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Sovereignty and sensitivity

Given concerns over Indian influence, New Delhi must exercise caution in the run-up to Bhutan's elections



SUHASINGI HARDAR

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The incident was a blip in India-Bhutan relations, but it is a clear indicator of heightened sensitivities in the Himalayan kingdom as it heads to its third general election. The National Assembly of Bhutan was dissolved and an interim government was appointed this month ahead of the election, which will be completed by October-end, marking 10 years of democracy in Bhutan.

Sovereignty and self-sufficiency
The People's Democratic Party, led by incumbent Prime Minister Tshering Tobgay, enters the elections with a visible edge, even if it may not be able to better its landslide victory in 2003, when it won 32 of the 47 seats. At his party's first rally on August 4, Mr. Tobgay touted the 8% GDP growth in favour of his party, which has been fuelled by a construction and tourist boom in Bhutan. He can also take credit for stabilising the rupee-ngultrum crisis that he had inherited, as well as for economic reforms including lifting the import ban on cars. However, Mr. Tobgay



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Revisiting policies and issues
The ensuing months may also be a useful interlude to revise India's Bhutan policy and address several issues that have come up in the past few years – for example, the hydropower projects where delays in constructing and commissioning in Bhutan by Indian companies have led to the country's burgeoning national debt. Although the government agreed to raise tariffs for the original hydropower plant in Chukha (by about 30 paise per unit) in February this year, other tariffs will need to be renegotiated too. In addition, India's power-surplus status and the advent of other renewable energies like wind and solar power will make it more difficult for Bhutan to ensure that its hy-

dropower sector becomes profitable. And unless India finds ways to help, it will be accused of the same sort of "debt trapping" that China is accused of today. India also needs to focus on policing cross-border trade better. The goods and services tax still hurts Bhutanese exporters, and demonetisation has left lasting scars on the banking system.

The China question

The biggest issue between India and Bhutan will remain how to deal with China. The Doklam crisis has brought home many realises for the Bhutanese establishment. The first is that Doklam, which has long been discussed as part of a possible "package solution" to the Bhutan-China border dispute, could become a point of India-China conflagration, with Bhutan becoming a hapless spectator in the middle – again. Experts point out that China's actions since last June, to build a permanent military presence above the stand-off point, mean that Bhutan has a much reduced advantage in any forthcoming negotiations on the issue. "We will continue to discuss Doklam de jure, but the situation has changed drastically de facto," said one Bhutanese expert. After Mr. Modi's Wuhan outreach and several meetings with Chinese President Xi Jinping, Bhutan too has decided that there is little point in avoiding engagement with China. China's Vice Foreign Minister Kong Xuanou's July visit to Thimphu was an outcome of this stance.

Interestingly, these issues are reminiscent of the situation in September 1958 when Prime Minister Jawaharlal Nehru undertook the arduous three-week journey by yak across the Chumbi Valley to meet Bhutan's second king, Jigme Wangchuck. The trip took place amidst rising tensions with China, even as it gave special clearance for the delegation to cross into Doklam. As former Foreign Secretary Jagat S. Mehta wrote in his book, *Negotiating for India: Resolving Problems Through Diplomacy*: "The running anxiety during the 1960s for Bhutan was to steer its external relations with China by giving neither provocation nor the impression of getting into a bear hug of dependence with India. Both could jeopardise [Bhutan's] autonomy."

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Given concerns over Indian influence, New Delhi must exercise caution in the run-up to Bhutan's elections. In the larger scheme of things, highway markers — the reflective stickers on railings that guide traffic on Bhutan's steep mountain roads — should not be a big issue. But when the Border Roads Organisation, which helps build Bhutanese roads under Project Dantak, decided in July to make those markers in shades of the Indian tricolour, it raised red flags among the Bhutanese on social media. Citizens were worried that this was an attempt by India to impose its flag on their countryside. This wasn't a first. In April last year, the Department of Roads had to remove a board which read "Dantak welcomes you to Bhutan" at the Paro international airport. And on the Thimphu-Phuentsholing arterial highway, another board that credited the "Government of India" had to be painted over. Eventually, in the recent case, which was covered by the national weekly *The Bhutanese*, the Minister for Public Works stepped in, and the stickers were changed to blue and white.

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...Contd.



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Attacking Mr. Tobgay over a perceived “pro-India” stance will be part of the Opposition’s messaging. At its first rally, on July 29, the Druk Phuensum Tshogpa (DPT) party president, Pema Gyamtsho, said that “sovereignty, security and self-sufficiency” were the DPT’s top priorities. Crucially, this election comes after the 73-day India-China stand-off in 2017 in the Bhutan-claimed area of Doklam. Even though public commentary on the tensions has been frowned upon, Mr. Gyamtsho’s statement advocates a Bhutanese foreign policy that is less dependent on India. Another party in the fray, the Bhutan Kuen-Nyam Party, which has drawn large crowds at its meetings and derives some backing from a respected religious figure in eastern Bhutan, has a similarly worded campaign manifesto title: “For a self-reliant Bhutan: our concern, our responsibility”. Clearly, though Mr. Tobgay has called the raising of “sovereignty” issues by the Opposition as scaremongering, the concerns over India’s or any other country’s presence in Bhutan’s domestic and foreign policy are not being dismissed.

Given this, India must step lightly and thoughtfully around the upcoming election. The Manmohan Singh-led United Progressive Alliance government’s decision to cut cooking gas subsidy just before the 2013 elections in Bhutan has often been shown as proof of Indian interference, especially by the DPT party that lost that election. Since then, the Narendra Modi government’s actions, indicating a preference for one party (for example, Sheikh Hasina’s Awami League in Bangladesh) or antipathy for another (such as for Mahinda Rajapaksa’s Sri Lanka Freedom Party), have been noted closely in Bhutan.

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GS II ... International Relations

India and its neighborhood- relations.

IMPORTANT QUESTION

ESSAY/ MAINS / GD / INTERVIEWS

The perception of excessive interference by India in the internal affairs of the neighbouring countries is partly responsible for deterioration in the neighbourhood relations. Critically examine.

CHINA

THIMPU
BHUTAN

NEPAL

INDIA

BAKLADESH

MYANMAR
(BURMA)



FROM TREATY OF PUNAKHA



- 1 It was the agreement signed on 8th January, 1910 at Punakha Dzong.
- 2 There was some prior working agreement between Bhutan and British India, signed in 1865.
- 3 Under the Treaty of Punakha, Britain guaranteed Bhutan's independence and took control of Bhutanese foreign relations.
- 4 It also affirmed Bhutanese independence as one of the few Asian kingdoms, never conquered by a regional or colonial power.

WHAT ABOUT THE SITUATION AFTER 1947?



- 1** Bhutan was given an option by the British to remain independent or join the Indian Union. Bhutan chose to remain independent.
- 2** Amid growing security concern over communist China, Indo-Bhutan Treaty was signed in August, 1949.
- 3** This is known as Treaty of Peace and Friendship and was signed in Darjeeling. It is continuation of Anglo-Bhutanese Treaty of 1910.
- 4** However, in February, 2007, it was revised, which clarifies Bhutan's status as an independent and sovereign nation.

INDIA-BHUTAN FRIENDSHIP TREATY, 2007



***Jigme Khesar Namgyel
Wangchuck,
King, Bhutan***

- Under 2007 India-Bhutan Friendship Treaty, the two sides have agreed to cooperate closely with each other on issues relating to their national interests.
- Neither Govt. shall allow the use of its territory for activities harmful to the National Security and the interest of the other.
- Article 2 declares that India would not interfere in Bhutan's administrative affairs.

OTHER ASPECTS BETWEEN INDIA & BHUTAN



***Bhutan is dependent on
India for exports / imports.***

- 1** North-east military groups are infiltrating and establishing bases in Bhutanese territory.
- 2** The economy of Bhutan depends greatly on hydropower exports.
- 3** India continues to be the largest trade and development partner of Bhutan.
- 4** Free Trade Regime exists between India and Bhutan.
- 5** India-Bhutan Foundation was established in 2003 and it focuses on education, cultural exchanges and environment preservation.

WHAT ABOUT THE RELATIONSHIP WITH CHINA?



- 1** China shares a contiguous border of around 470 kms.
- 2** China does not have official diplomatic relations with Bhutan.
- 3** There are border disputes between Bhutan and China.
- 4** A bilateral agreement was signed in 1998 and China affirmed its respect for Bhutan's sovereignty and territorial integrity.

PRIDE OF BHUTAN HURT IN RECENT TIMES!



- 1 Border Roads Organisation helps build Bhutanese roads under Project Dantak.
- 2 In July, it decided to make the markers on the roads in shades of Indian tricolor.
- 3 In April, the Department of Roads had to remove a board which read “Dantak welcomes you to Bhutan” at the Paro international airport.

On the Thimphu-Phuentsholing arterial highway, the board credited to the Government of India had to be painted over. There are heightened sensitivities in the Himalayan kingdom.

OPPOSITION VOICES INDICATE LESS DEPENDENCE ON INDIA



- 1 The DPT Party President Pema Gyamtsho, said “sovereignty, security and self-sufficiency” are the DPT’s top priorities.
- 2 His statement advocates a Bhutanese foreign policy that is less dependent on India.
- 3 Another party similarly worded “For a self-reliant Bhutan: our concern, our responsibility”.

ISSUES PERTAINING TO HYDROPOWER



- 1 The hydropower projects, where delays in construction and commissioning by the Indian companies took place, have led to the Country's increase in the national debt.
- 2 The tariffs need to be re-negotiated.
- 3 Moreover, in India advent of wind / solar makes it more difficult for Bhutan to ensure that its hydropower sector becomes profitable

The demonetisation left lasting scars on the banking system, GST hurts Bhutanese exports and there is a need to better organise cross-border trade.

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